

spending declines. These numbers are provided for each percentile of the distribution.

2. The next column (**year 30 spending relative to baseline**) provides year thirty spending relative to the initial spending supported by the baseline constant inflation-adjusted strategy. These numbers provide a sense of how spending evolves relative to the baseline strategy to help determine the overall outcomes for spending. This column will be relevant after we later apply a PAY Rule that lets the initial spending rate differ for each strategy. A strategy that starts at a higher initial spending level may experience a large drop relative to that level, but it may still remain above where spending would have been at the baseline, and this column aids in understanding this possibility.
3. The final column reflects **downside spending volatility**. This provides a measure of the potential annual spending decreases over retirement. This volatility measure does not apply for spending increases. Rather, for each simulation, the sum of spending decreases over the thirty years is calculated and divided by 30. If the average spending decline is 3 percent, it means that over the thirty years of retirement, real spending decreased by 3 percent per year on an average annual basis.

In presenting outcomes, each spending strategy is represented by twenty-two numbers. The most important number is not universal, as individual considerations will vary. Retirees will surely wish to consider the implications for when markets do well and when markets do poorly. To demonstrate the range of possibilities, outcomes for spending and remaining wealth will be shown for the ninetieth percentile (markets do well), fiftieth percentile (the midrange outcome in which half can expect to do better and half worse), and the tenth percentile (markets do poorly). Beyond this, the exhibit allows users to consider the initial spending level, the evolution of spending, the impact on legacy, and downside spending volatility.

#### *Exhibit 6.16*

*Sustainable Spending Rates from an Investment Portfolio over 30 Years  
For a 65-Year-Old (Which Is Relevant Only for the RMD Rule)*